WARWICK BUSINESS SCHOOL
THE UNIVERSITY OF WARWICK

Group Name **Students**	Group 10 5734555 5735010 5667249 5609025 5746101 5723935
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Have you used Artificial Intelligence (AI) in any part of this assignment?	Yes

If you have ticked “Yes” above, please briefly outline below which AI tool you have used, and what you have used it for. Please note, you must also reference the use of generative AI correctly within your assessment, in line with the guidance provided in your student handbook.

Notebookllm and gemini were used to generate images on slides 2 , 4 and 19.

Walt Disney

CUSTOMER VALUE MANAGEMENT

GROUP 10

REIGNITING THE MAGIC:

A New Value Proposition for Disney Parks

Disney markets stories, not rides, every campaign invites you into a world, not to a park.

Disney operations make magic predictable, through systems engineered to feel invisible.

Step Into the Magic: Inside Disney Theme Parks

Disney theme parks are world-famous destinations where storytelling, technology, and design come together to create mesmerizing "worlds" for guests of all ages. Beyond rides, the parks offer parades, live shows, dining, and shopping, all carefully crafted to deliver a sense of magic, escapism, and shared family memories that keep guests returning again and again.

Where world-class magic brings stories to life and memories to forever.

Benefits

- Functional Benefits: Immersive themed environments, Safety and cleanliness.
- Emotional Benefits :Happiness/joy, Nostalgia, Belonging.

Value = Benefits(↑)-Costs(↓)

Costs

- Tangible Costs: High admission, Premium services, Hotels and accommodation.
- Intangible Costs: Time investment, Stress (crowding, complexity), Physical effort.

The Disney Value Pyramid

Engineering Magical Experiences

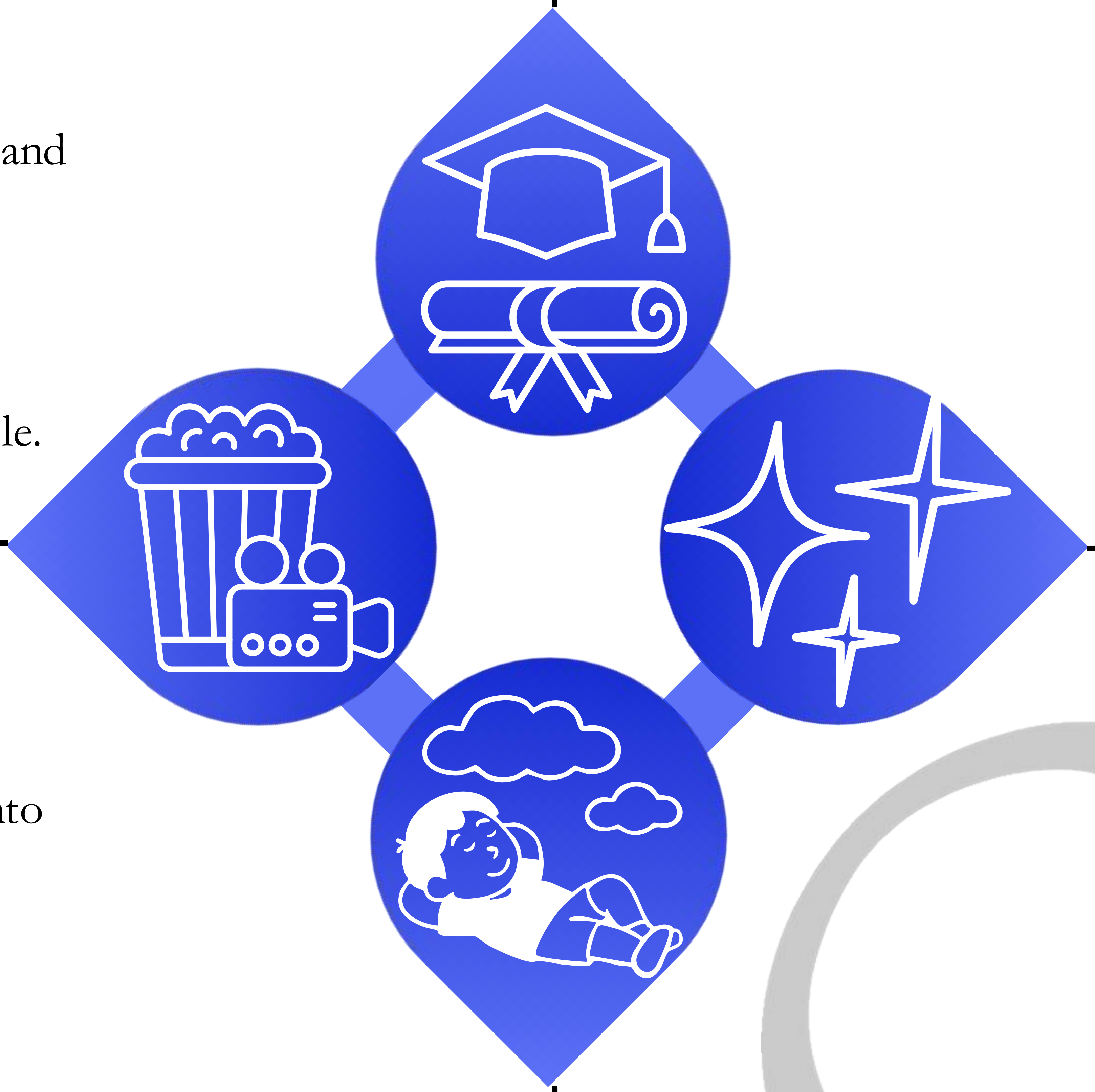
Gaps based on Experience Economy

Entertainment

- PROMISE: World-class, emotionally uplifting shows and attractions.
- REALITY: Operational constraints lead to these experiences being inaccessible.

Education

- PROMISE: Themed educational experiences that teach guests about history, culture and storytelling
- REALITY: educational experiences are being overshadowed by commercialized attractions



Escapsim

- PROMISE: Total escape into fantasy world.
- REALITY: Digital systems interrupt immersions.

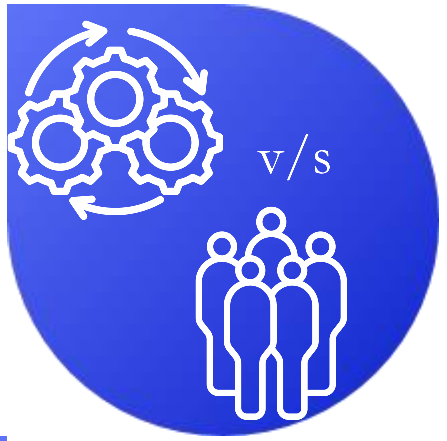
Aesthetics

- PROMISE: Beautiful, Immersive themed environments.
- REALITY: Perceived increased commercialization

Gap Analysis based on CBBE

Operational Excellence vs. Overcrowding

- PROMISE: Reliable, seamless, world class experience.
- REALITY: Customer reviews frequently point to excessive crowding, long queue times,and increased friction.

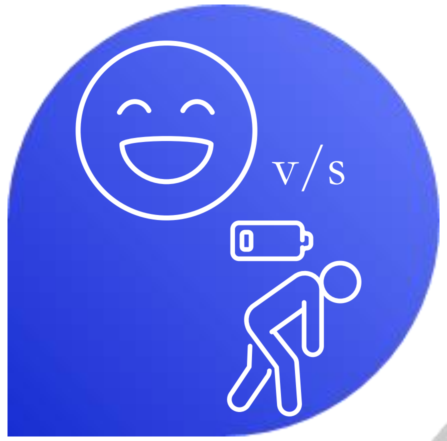


Premium Value vs. Rising Costs

- PROMISE: Exceptional value through tailored experiences.
- REALITY: Customers increasingly perceive Disney parks as too expensive, with “price shock” frequently mentioned.

Happiness vs. Stress/Anxiety

- PROMISE: Joy, happiness and emotional uplift.
- REALITY: Growing guest reports of stress, planning fatigue, and decision friction.



Community vs. Segmentation

- PROMISE: Belonging to the global Disney family.
- REALITY: Experiences increasingly segmented by price tier (Standard/Genie/VIP).

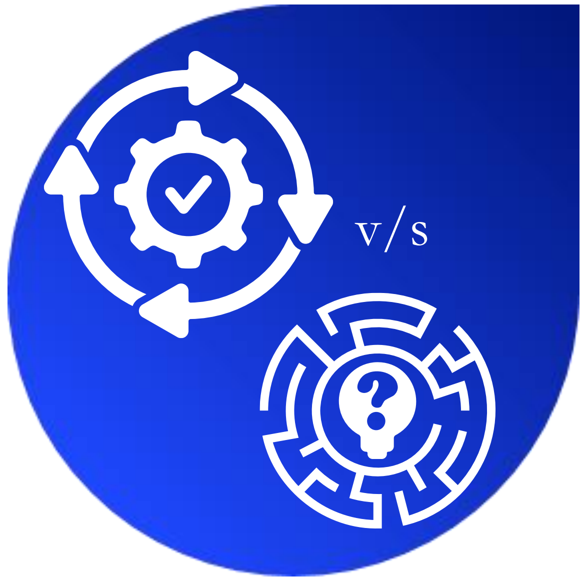
Gap Analysis based on SQIP

Premium expectations vs. Reality

- PROMISE: World-standard physical environments.
- REALITY: Mixed maintenance and aging infrastructure, overcrowding, degrading physical experience quality, maintenance disruptions interrupt themed narrative.

Cast Members vs. Guest Expectations

- PROMISE: Exceptional hospitality and personalized services.
- REALITY: Emotional labour strain(interaction quality weakened), with inconsitent emotional warmth.



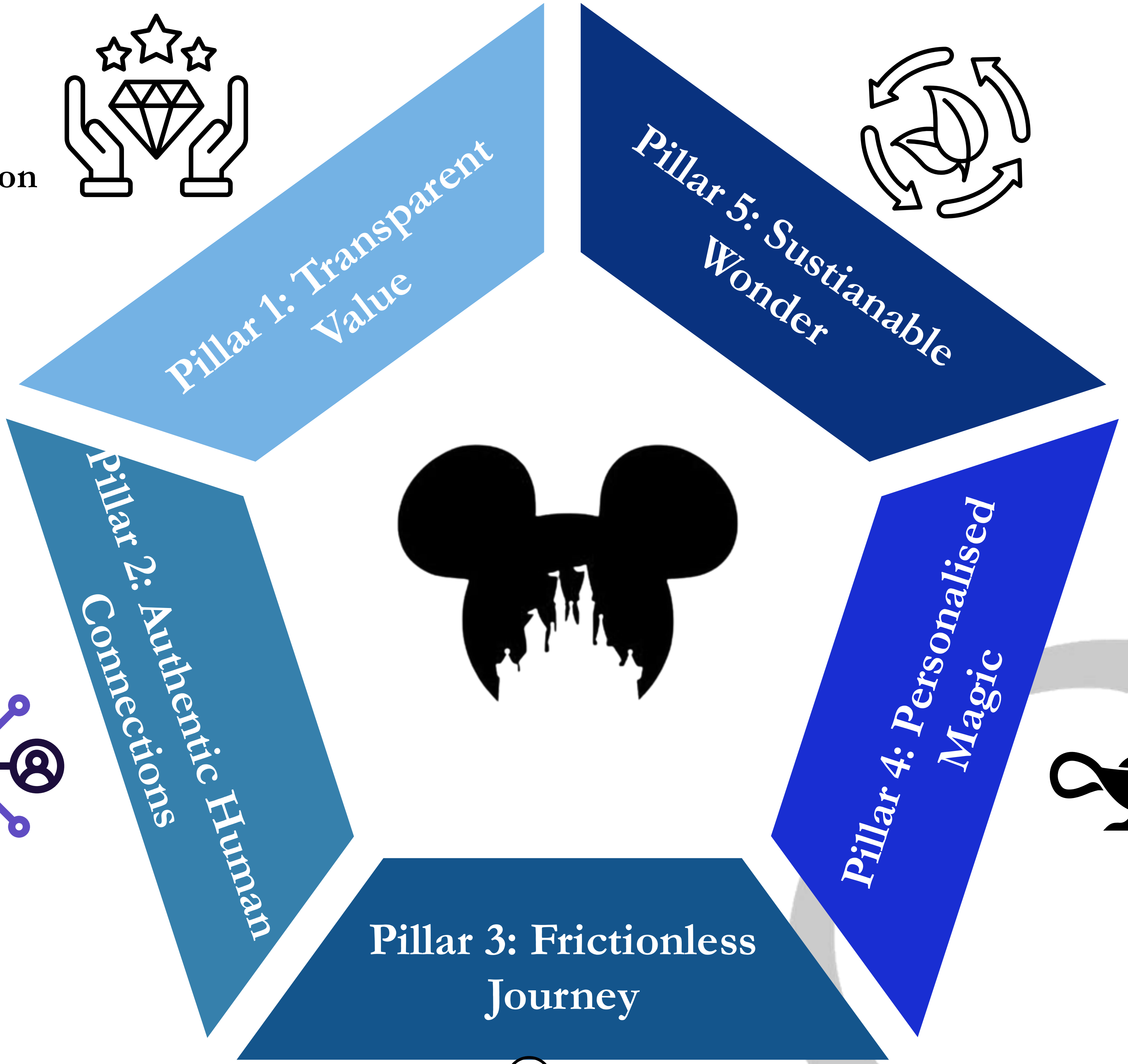
Seamless vs. Complex

- PROMISE: Seamless, frictionless experience.
- REALITY: Genie+, Lightning Lane, and complex reservation systems.

The Five Pillars of a Renewed Disney Promise

Key Strategies:
- Tiered Pricing System.
- Dynamic Bundling
- Clear Value Communication

Key strategies:
- Visible Sustainability.
- Social Responsibility
- Cultural Sensitivity

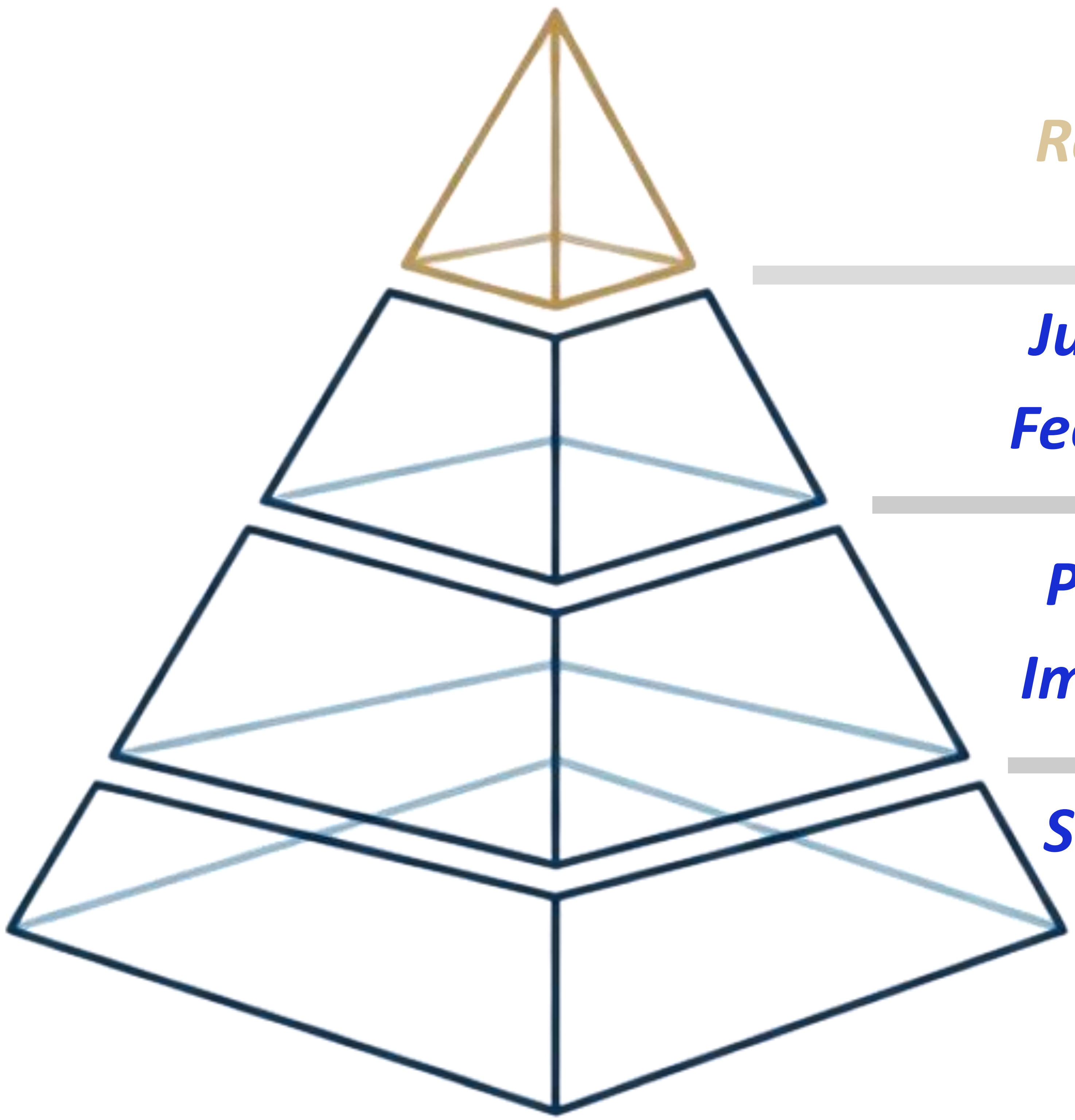


Key Strategies
- Empowerment Training
- Moment Spotting
- Reduced Script Dependency

Key Strategies:
- Guest Preference Profiling
- Tailored Experiences
- Adaptive Storytelling

Key Strategies: Smart Smart Queue Management, Seamless Entry, Integrated App

Rebuilding Disney’s Brand Equity Using CBBE Model



Resonance

- Build emotional connection through personalization.
- Create brand advocates through transparency and authentic service.

Judgements
Feelings

- Reinforce a best-in-class value judgement and deepen emotional connections with authentic services.

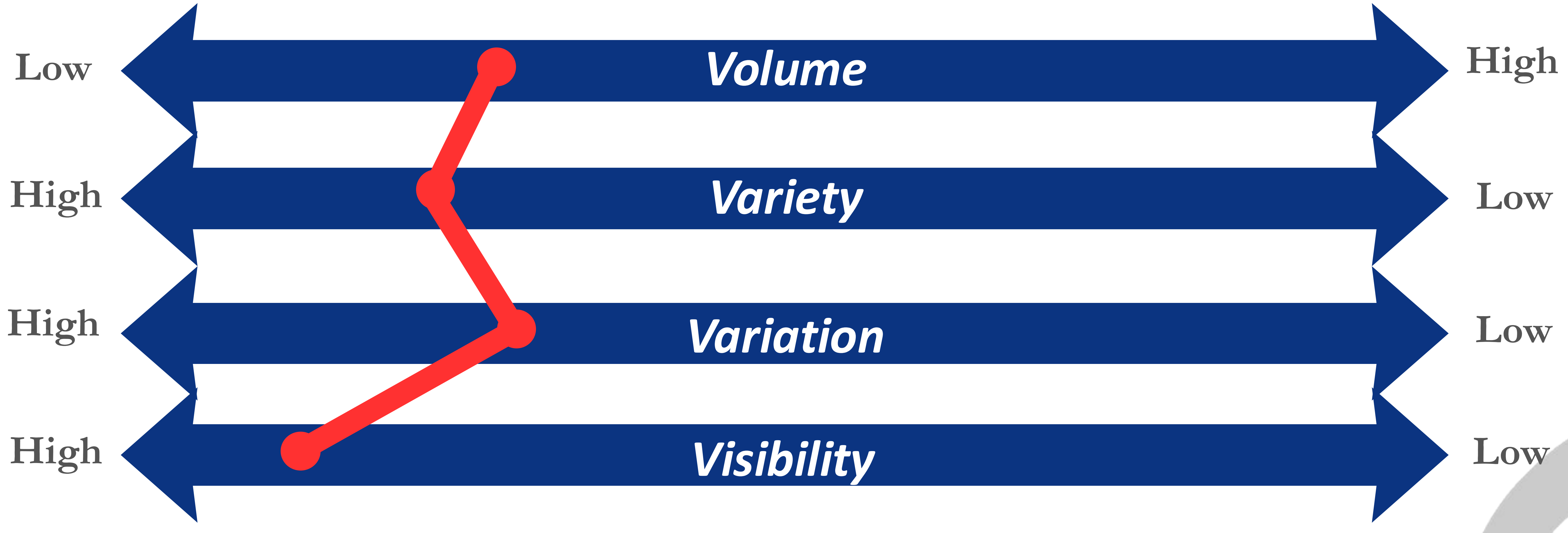
Performance
Imagery

- Performance: Improve operational metrics (99.9% uptime, wait accuracy).
- Imagery: Position as "innovating to serve guests better" vs. "exploiting fan loyalty".

Salience

- Current: Very high (near-universal awareness).
- Enhancement: Shift perception from "expensive resort park" to "premium-but-transparent value".

4 V's Analysis



Volume

- **Low** - limited parks in the world and limited number of guests daily in each park.

Variety

- **High** - wide range of rides, food and beverages, merchandises, and hotels.

Variation

- **High** - fluctuates by season, by weather and by day, for example, weekends, Christmas, and New Year.

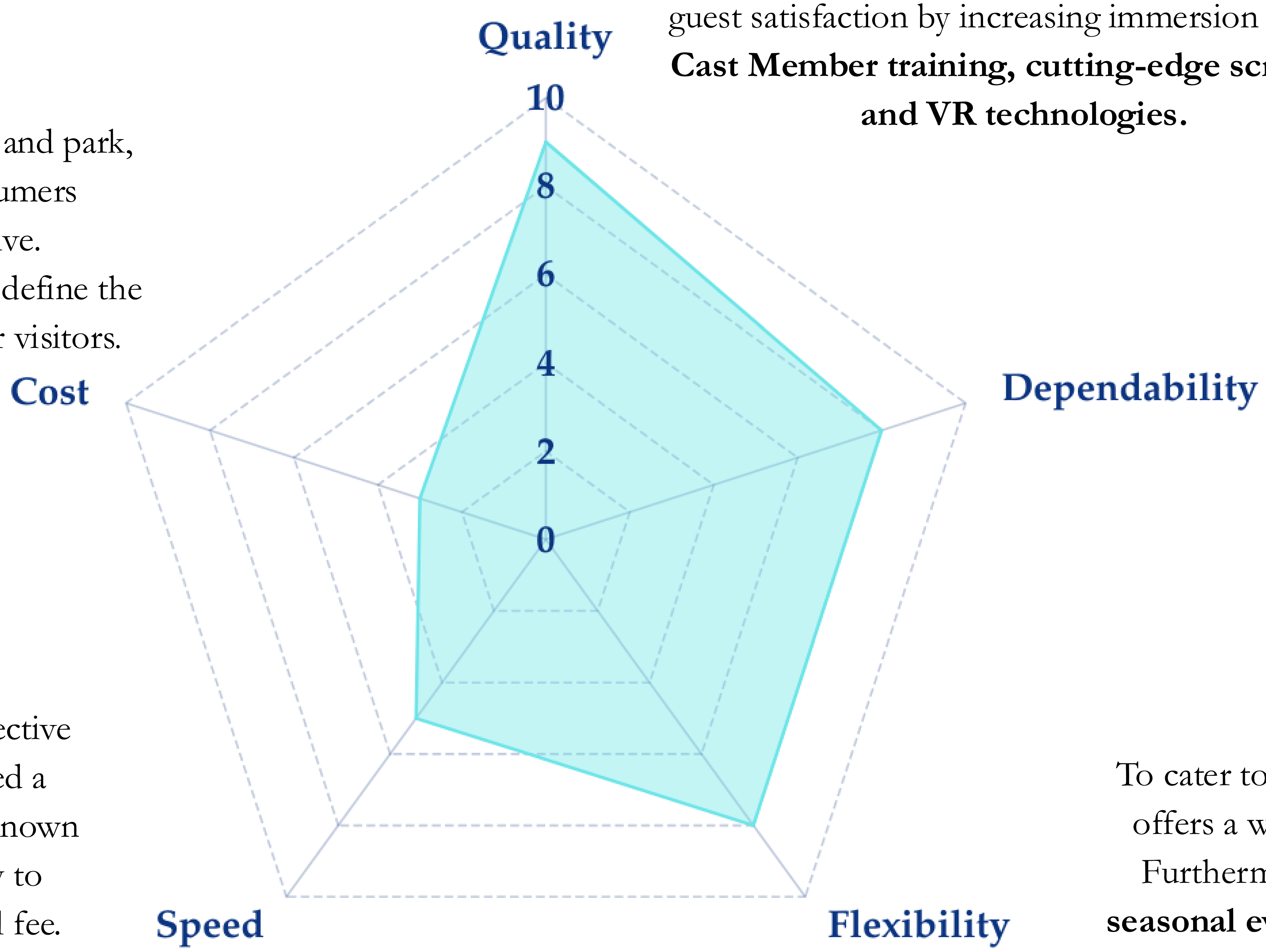
Visibility

- **EXTREMELY High** - most operational activities are directly experienced by guests.

The 5 Performance Objectives

Disneyland aims for high standards in both **specification** and **conformance**. The park strives to improve the quality of the rides and enhance guest satisfaction by increasing immersion through **Cast Member training, cutting-edge screening and VR technologies.**

Disneyland ticket prices vary by the date and park, but they typically exceed $100. Consumers generally perceive them as expensive. Disneyland targets **high ticket prices** to define the park as a venue for special occasions for visitors.



Disneyland strictly adheres to daily schedules for opening hours, parades, and fireworks. Through regular ride maintenance checks and staff service training, the visitor can expect to experience **consistent service quality**.

Speed is a relatively lower priority objective for Disneyland. The park has adopted a strategy of offering fast-track access, known as the '**Lightning Lane**,' exclusively to customers willing to pay an additional fee.

To cater to diverse customer preferences, the park offers a wide variety of attractions and services. Furthermore, it adapts its themes to align with **seasonal events** such as Halloween and Christmas.

Supply Chain Analysis
based on Triple A and 4R

Merchandise

Food & Beverage

Operational Materials

High-value products, Core Technology Components, Food

Local sourcing or
from the US, Canada, UK,
France, Germany,
Japan, South Korea, etc.

Consumer goods requiring mass production (Clothing, Toys)

China, Vietnam, India,
Mexico, Brazil, Indonesia, etc.

Triple A	4R	Disney
Agile	**Resilience**	Disney is striving to secure resilience by ensuring agility in response to external crises through **local logistics partnerships** in their European and Asian networks, and by investing in logistics infrastructure, such as purchasing the Anaheim distribution centre in North America and establishing the Orlando **logistics ecosystem**
Adaptable	**Responsiveness**	Disney uses **AI** and **MagicBands** to predict exactly what guests want and have moved some production closer to the US (Mexico) to respond faster . Yet, they still rely heavily on factories in specific Asian countries like China and Vietnam, which remains risky if international relations become unstable.
Aligned	**Relationships**	Disney shares data transparently with key partners like Sysco and enforces strict **ethical rules for workers' rights**.
	Reliability	They use robots to ensure inventory is nearly 100% accurate and maintain very strict **food safety standards** to protect customers.

Corporate Social Responsibility and Sustainability of Disney's Theme Park

Based on the United Nations Sustainable Development Goals (UN SDGs)

Sustainability of Disney's Theme Park

(in terms of Environment)

Emission

- Targeting 46.2% reduction in Scope 1 & 2 emissions and net-zero operations by 2030, with 100% zero-carbon electricity.
- Aiming for 27.5% reduction in Scope 3 emissions; by 2027, major suppliers and licensees must have science-based targets.
- As of 2024, Disney has achieved 38% progress toward its Scope 1 & 2 reduction goal.

Water

- Parks are implementing local water stewardship and conservation strategies.
- 96% of seafood in U.S. parks and resorts is sustainably sourced (2024).

Waste

- Disney Parks identified 4,000+ tons of single-use plastics and expanded reusable alternatives.
- In 2024, 59% of park waste was diverted from landfill, with continued efforts to cut single-use plastics.

Materials

- Parks are shifting to recycled and lower-impact materials for products, packaging, and merchandise sold on-site.
- Many vendors supplying park merchandise completed Disney's environmental assessment, increasing recycled content in park products.

Sustainable Design

- New park facilities and cabins are built with energy-efficient systems and recycled or salvaged materials to reduce environmental impact.
- Theme park construction projects aim for high waste diversion and improved sustainability (e.g., efficient HVAC, LED lighting, native landscaping)

Nature

- Disney Conservation Fund supports global wildlife and habitat protection, contributing over $132M to conservation efforts linked to park initiatives.
- Disney parks enhance animal care and environmental awareness through technologies like RFID tracking and guest-facing conservation storytelling.

Corporate Social Responsibility of Disney's Theme Park

Supporting Children, Families, and Hospitals

- Disney works with children's hospitals worldwide to bring comfort and joy through murals, characters, toys, storytelling, and care kits.
- Provides emotional relief for children facing medical challenges through themed hospital experiences and digital content.
- Donates millions annually to child-focused organisations.

Strengthening Communities

- Disney engages in large-scale volunteer programmes, with cast members contributing millions of hours globally.
- Supports community resilience, education, and local nonprofits through grants and donations.
- Partners with relief organisations to provide assistance during natural disasters and emergencies.

Inclusion, Diversity, and Creating Opportunity

- Disney invests in programmes that expand access to the creative arts for underrepresented groups.
- Provides career development, training, and scholarships for youth aspiring to work in entertainment, storytelling, and technology.
- Builds inclusive environments in parks, studios, and communities.

CSR and Sustainability of Disney’s Theme Park

Summary

Disney presents strong green claims with measurable progress in emissions reduction, waste management, and conservation. However, the environmental impact of building and operating large theme parks creates inherent conflicts, which makes Disney appear partially greenwashed since its genuine efforts are still constrained by a resource-intensive business model.

Disney theme parks deliver value across all levels of the value pyramid by offering strong functional value and emotional value as mentioned in marketing part.

Criticism of Disneyland’s Operations

Disney's core values center on creating happiness, magic, and memorable experiences through Safety, Courtesy, Inclusion, Show, and Efficiency for guests.

01

Environmental Pollution

- The production of temporary seasonal decorations and limited-edition merchandise inevitably results in substantial waste problems.
- Disney’s daily fireworks contribute significantly to severe air pollution.

02

The Ethical Gap

Disney tightened **DAS(Disability Access Service)** regulations to reduce the queue time. This decision means Disney prioritised operational efficiency over inclusivity, creating a significant ethical gap in the brand's values.

03

Profitability Over Sustainability

Disney abandoned the **Brightline high-speed rail station project,** which would have contributed to carbon reduction. This decision appears to be driven by a strategy to maximize resort revenue, forcing visitors to rely on private vehicles and thereby increasing carbon emissions.

Recommendations for Improvement

01

Adopting Sustainable Materials

Transition to biodegradable packaging and reusable containers to significantly reduce solid waste generation. For example, creating a campaign encouraging guests to bring their own food or drink containers to the theme park in exchange for discounts, which would help increase theuse of personal reusable containers.

Eco-Friendly Entertainment

02

Substitute daily fireworks with advanced drone technology or laser shows to eliminate atmospheric contamination while maintaining visitor satisfaction.

03

Green Mobility Infrastructure

Install extensive EV charging infrastructure and launch a green shuttle service for airport transfers to reduce reliance on private carbon-intensive vehicles.

These initiatives not only offer operational savings by cutting waste costs but can increase emotional value by reducing the guilt consumers feel about waste. It strengthens Disneyland's brand image and secures long-term profitability.

THANK YOU

Group 10

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